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Case Number: 26STCV02054 Hearing Date: September 2, 2026 Dept: 407

Tentative Ruling

Judge Brock T. Hammond, Department 407

HEARING DATE: September

2, 2026 TRIAL DATE: Not set

CASE: Aide Parra v. TEKsystems,
Inc., et al.

ASE NO.: 26STCV02054

CROSS-DEFENDANT

MARYLAND TEKSYSTEMS, INC.'S MOTION TO COMPEL ARBITRATION AND TO DISMISS THE
CROSS- COMPLAINT

MOVING PARTY: Cross-Defendant

Maryland TEKsystems, Inc.

RESPONDING PARTY: Cross-Complainant

Western University of Health Sciences, Inc.

Defendant Maryland TEKsystems, Inc. dba

TEKSystems, Inc. ("TEKsystems"), a staffing agency, assigned plaintiff Aide

Parra ("Parra") to work as a receptionist at the place of business of defendant

Western University of Health Sciences, Inc. ("Western"). Parra was terminated. Parra then brought this action against

TEKsystems and Western alleging she was wrongly terminated in retaliation for reporting

misconduct. Western answered the

complaint and concurrently filed a cross-complaint against TEKsystems for indemnity, contribution and declaratory relief. TEKsystems now moves for arbitration of Western's crossclaims pursuant to a Staffing Services Agreement ("SSA") which contains an arbitration provision.

I. BACKGROUND

On January 21, 2026, Parra commenced this action against TEKsystems and Western.

On May 4, 2026, TEKsystems was dismissed from this action.

On May 14, 2026, Western filed an Answer to the Complaint and concurrently filed a Cross-Complaint against TEKsystems for express indemnity, implied contractual indemnity, equitable indemnity, contribution, and declaratory relief.

On June 18, 2026, TEKsystems filed this motion to compel arbitration and to dismiss the Cross-Complaint. TEKsystems also requests attorney's fees.

On August 20, 2026, Western filed an opposition.

On August 26, 2026, TEKsystems filed a reply.

II. LEGAL STANDARD

Under California law, public policy favors arbitration as an efficient and less expensive means of resolving private disputes. (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 8-9; AT&T Mobility LLC v. Concepcion (2011) 563 U.S. 333, 339 (Concepcion).) Similarly, the Federal Arbitration Act (FAA) reflects a liberal federal policy favoring arbitration and the fundamental principle that arbitration is a matter of contract. (Concepcion, 563 U.S. at p. 339.) In line with these principles, courts must place arbitration agreements on an equal footing with other contracts and enforce them according to their terms. (Ibid.) "[U]nder both the FAA

and California law, 'arbitration agreements are valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.'"

(Higgins v. Sup. Ct. (2006) 140 Cal.App.4th 1238, 1247.) Accordingly, whether an agreement is governed by the California Arbitration Act (CAA) or the FAA, courts resolve doubts regarding the scope of arbitrable issues in favor of arbitration. (Moncharsh, supra, 3 Cal.4th at p. 9; Comedy Club, Inc. v. Improv West Assocs. (9th Cir. 2009) 553 F.3d 1277, 1284.)

While the arbitration agreement may be governed by the FAA, the agreement may be enforced via the summary procedures provided by California arbitration law. (Rosenthal v. Great Western Financial Securities Corp. (1996) 14 Cal.4th 394, 409-410.) It is a "general and unassailable proposition . . . that States may establish the rules of procedure governing litigation in their own courts," even though the controversy is governed by substantive federal law. (Felder v. Casey (1988) 487 U.S. 131, 138.) By the same token, however, a state procedural rule must give way "if it impedes the uniform application of the federal statute essential to effectuate its purpose, even though the procedure would apply to similar actions arising under state law." (McCarroll v. L.A. County etc. Carpenters (1957) 49 Cal.2d 45, 61, 62.)

A party to an arbitration agreement may seek a court order compelling the parties to arbitrate a dispute covered by their agreement. (Code Civ. Proc., § 1281.2.) California statutes create a "summary proceeding" for resolving petitions or motions to compel arbitration. (Engalla v. Permanente Medical Group, Inc. (1997) 15 Cal.4th 951, 972.)

When a party has filed a petition to compel arbitration, the trial court must determine in a summary proceeding whether an "agreement to arbitrate the controversy exists." (Code Civ. Proc., §§ 1281.2, 1290.2; Rosenthal, 14 Cal.4th at pp. 412-413.) In that proceeding, because the existence of the agreement is a statutory prerequisite to granting the petition, "[t]he petitioner bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.] In these summary proceedings, the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (Engalla, 15

Cal.4th at p. 972; Rosenthal, 14 Cal.4th at p. 413.)

The court should grant the motion unless it finds either (1) no written agreement to arbitrate exists; (2) the right to compel arbitration has been waived; (3) grounds exist for rescission of the agreement; or (4) litigation is pending that may render the arbitration unnecessary or create conflicting rulings on common issues. (Code Civ. Proc., § 1281.2; Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 218-219.)

The trial court typically decides the threshold issues of enforceability of the arbitration agreement and the scope of issues to be arbitrated. (Aanderud v. Sup.Ct. (Vivint Solar Developer, LLC) (2017) 13 Cal.App.5th 880, 891.)

III. DISCUSSION

There is no dispute Western and TEKsystems signed the SSA and that the SSA contains an arbitration agreement.

The court must decide four issues: (1) Does the SSA cover Western's claims? (2) Does the arbitration agreement incorporate the FAA's procedural provisions? (3) Is the delegation clause in the SSA clear and unmistakable? (4) Notwithstanding the clear and unmistakable delegation, does the court retain jurisdiction to consider whether the third-party litigation exception under Code of Civil Procedure section 1281.2(c) applies? For the reasons stated herein, the court grants the motion.

A. The SSA Covers Western's Claims.

The court quickly disposes of the first issue. Here, Western does not and cannot dispute that its express indemnity and implied contractual indemnity claims are based upon Section 13 of the SSA. (See Cross-Complaint, ¶¶ 10, 14-16, 22-24; Ex. A, § 13.) At minimum, those claims are plainly covered by the SSA. Further, a review of the arbitration provision confirms that it also embraces Western's equitable indemnity, contribution, and declaratory relief claims. The arbitration clause states that "all disputes, controversies, or differences arising in connection with the ... performance, [or] breach ... of this Agreement,

shall be finally settled in a binding arbitration proceeding....” (Cross-Complaint, Ex. A, § 16.10.) “For a party’s claims to come within the scope

of such a clause, the factual allegations of the complaint ‘need only ‘touch matters’ covered by the contract containing the arbitration clause.” (Ramos v. Superior Court (2018) 28

Cal.App.5th 1042, 1052.) The allegations

in the Cross-Complaint clearly indicate that it touches matters covered by the broad arbitration clause in the SSA.

Western, as the party opposing arbitration, does not meet its burden “to demonstrate that the arbitration clause cannot be interpreted to require arbitration of the dispute.” (Coast

Plaza Doctors Hosp. v. Blue Cross of California (2000) 83 Cal.App.4th 677, 686-87, italics in original.)

B. The Arbitration Clause Does Not Incorporate the FAA’s Procedural Provisions.

The parties dispute whether

the SSA is governed by the FAA. The SSA

is silent on the issue. Ultimately, the

court need not resolve that dispute. This is so because, even if the FAA’s substantive

provisions apply, the SSA does not contain any language to suggest the FAA’s procedural

provisions were likewise incorporated into arbitration clause. “The FAA’s procedural provisions (9 U.S.C. §§ 3, 4, 10, 11) do not apply unless the contract contains a choice-of-law clause

expressly incorporating them.” (Victrola 89, LLC v. Jaman Properties 8 LLC

(2020) 46 Cal.App.5th 337, 345 quoting Valencia v. Smyth (2010) 185

Cal.App.4th 153, 157.) Absent a

choice-of-law clause expressly incorporating the FAA’s procedural provisions,

the court finds the CAA’s procedural provisions govern the arbitration clause

of the SSA.

C. The Delegation Clause Is Clear and Unmistakable.

“Although threshold questions

of arbitrability are ordinarily for courts to decide in the first instance

under the [Federal Arbitration Act (FAA)], the ‘[p]arties to an arbitration

agreement may agree to delegate to the arbitrator, instead of a court, questions

regarding the enforceability of the agreement.” (Pinela v. Neiman Marcus

Group, Inc. (2015) 238 Cal.App.4th 227, 239 (Pinela) quoting Tiri

v. Lucky Chances, Inc. (2014) 226 Cal.App.4th 231, 241.) “Just as the

arbitrability of the merits of a dispute depends upon whether the parties agreed to arbitrate that dispute, ... so the question who has the primary power to decide arbitrability turns upon what the parties agreed about that matter.” (Aanderud, supra, 13 Cal.App.5th at p. 891.)

The delegation issue is a “gateway” question. (Rent-A-Center, West, Inc. v. Jackson (2010) 561 U.S. 63, 69 (Rent-A-Car).)

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“There are two prerequisites for a delegation clause to be effective. First, the language of the clause must be clear and unmistakable. Second, the delegation must not be revocable under state contract defenses such as fraud, duress, or unconscionability. The ‘clear and unmistakable’ test reflects a ‘heightened standard of proof’ that reverses the typical presumption in favor of the arbitration disputes.” (Aanderud, 13¿Cal.App.5th at p. 892 (cleaned up).) Thus, “[u]nless the parties clearly and unmistakably provide otherwise, the question of whether the parties agreed to arbitrate is to be decided by the court, not the arbitrator.” (Pinela, at pp. 239-40 (cleaned up).)¿

Here, contrary to Western’s position, the parties agreed to commit questions of arbitrability to the arbitrator. The SSA states, in relevant part, that “all disputes controversies, or differences arising in connection with the ... performance, [or] breach ... of this Agreement, shall be finally settled in a binding arbitration proceeding....” (Cross-Complaint, Ex. A, § 16.10.) The language is clear and unmistakable.[1] (See Momot v. Mastro (9th Cir. 2011) 652 F.3d 982, 988 [language delegating authority to arbitrator to determine “ ‘the validity or application of any of the provisions of’ ” the arbitration clause was a clear and unmistakable agreement to arbitrate the question of arbitrability].) If the arbitration clause was governed by the FAA, the issue would be settled, and the court would compel Western’s claims against TEKsystems to arbitration.

However, as discussed above, the court has found that the arbitration clause is governed by the procedural provisions of the CAA. Accordingly, in what appears to be an issue not previously addressed by any California Court of Appeal, the court finds it is not precluded from determining whether the third-party litigation exception of the CAA (Code of Civil Procedure § 1281.2(c)) applies. (See, e.g., Williams v. Atria Las Posas (2018)

24 Cal.App.5th 1048, 1053-54 (holding that if an agreement to arbitrate does not clearly provide that the FAA supplants California arbitration law, the court is not precluded from applying the third-party litigation exception set forth at Code of Civil Procedure section 1281.2(c)).) For this reason, and out of an abundance of caution, the court will consider Western's third-party litigation challenge.

D. The Third-Party Litigation Exception Does Not Apply.

Code of Civil Procedure section 1281.2(c) provides that a court shall refuse to enforce an arbitration agreement where: (1) a party to the arbitration agreement is also involved in a pending court action with third parties; (2) the claims arise out of the same transaction or series of related transactions; and (3) there is a possibility of conflicting rulings on common issues of law or fact.

Here, not all the elements are satisfied. First, Plaintiff's claims and Western's claims, do not arise from the same transaction.

Plaintiff's whistleblower and retaliation claims arise from his employment at Western. By contrast,

Western's claims arise in part from TEKsystems' purported failure to tender a defense of Plaintiff's claims pursuant to the SSA. The claims are only tangentially related. Western does not demonstrate the connection

between Plaintiff's employment-based claims and TEKsystems' performance and breach of the SSA. These are different

issues that concern different law and different facts. Third, because Plaintiff's and Western's respective claims are fundamentally different, the risk of conflicting rulings

is not present. Western admits as much,

stating that "Plaintiff has no legal interest in the outcome of litigation on

the subject of indemnification between [Western University and TEKsystems],

which is at the heart of Western U[niversity]'s Cross-C[laim]." (Opp., p. 4:7-9.) The third-party litigation exception does not apply.

E. Attorney Fees and Costs

Pursuant to

Section 16.10 of the SSA, TEKsystems seeks an award of attorney fees and costs. The request is premature. Section 16.10 provides, "The non-prevailing party to the arbitration shall pay all the prevailing party's reasonable

attorneys' fees and other costs and expenses incurred in connection with the

prosecution or defense of such arbitration." Here, TEKsystems has succeeded only in compelling

Western to arbitrate its claims. Because

arbitration has not yet commenced, neither party is a prevailing or non-prevailing party.

F. Dismissal or Stay of Proceedings

TEKsystems

requests dismissal of the Cross-Complaint.

The request is not grounded in law.

Rather, a stay of proceedings is the typical course when arbitration is compelled. (See Code Civ. Proc., § 1281.4.) This case, however, does not present the usual case. "Section 1281.4 does not authorize the court to stay an action on the basis of an arbitration to which the plaintiff is not a party." (Leenay v.

Superior Court (2022) 81 Cal.App.5th 553, 562.) Here, Plaintiff is not a party to the arbitration. For these reasons, the court declines to dismiss the Cross-Complaint or to stay this action.

IV. CONCLUSION

Based on the foregoing, the motion to compel arbitration is GRANTED IN PART. Cross-Complainant Western University of Health Sciences, Inc. is ordered to arbitrate its crossclaims against Cross-Defendant Maryland TEKsystems, Inc. dba TEKSystems, Inc.

The request for attorney's fees and costs is DENIED.

The request for dismissal of the Cross-Complaint is DENIED

The court sets a Status Conference re: Arbitration Proceedings for March 2, 2027, at 9:00 a.m.

Moving party is ordered to give notice, unless waived.

Dated: September 2,
2026

Kerry Bensinger

Judge of the Superior

Court

[1] Western relies on Sandoval-Ryan

v. Oleander Holdings, LLC (2020) 58 Cal.App.5th 217 to argue the delegation

is not clear and unmistakable. The court

rejects Western's analysis of Sandoval-Ryan for the reasons stated in

TEKsystems' reply. Nevertheless, the

court considers the third-party litigation exception on other grounds.